NOTE 11: INCOME TAXES

Earnings before provision for income taxes (in thousands):

	2000	2001	2002
United States	$ 132,042	$ 114,956	$ 90,609
Foreign	18,348	15,734	17,680
	$ 150,390	$ 130,690	$ 108,289

Income tax expense consists of the following (in thousands):

	2000	2001	2002
Current income tax expense:			
Federal	$ 41,062	$ 42,153	$ 33,475
State	7,545	7,552	4,298
Foreign	5,514	5,523	5,150
	54,121	55,228	42,923
Deferred income tax expense (benefit):			
Federal	3,485	(3,060)	(2,000)
State	615	(540)	(300)
Foreign	(678)	(1,653)	(340)
	3,422	(5,253)	(2,640)
	$ 57,543	$ 49,975	$ 40,283

Significant components of the Company's deferred tax assets and liabilities are as follows (in thousands):

	2001	2002
Current deferred tax assets:		
Accrued expenses and other	$ 8	$ 973
Allowance for doubtful receivables	320	1,482
Employee benefit plans	740	2,068
Inventory reserves	4,480	7,486
Net operating loss and other tax credit carryforwards	2,630	5,118
Restructuring reserves	1,360	3,091
Valuation allowance	(1,730)	(1,841)
	$ 7,808	$ 18,377
Non-current deferred tax liabilities:		
Depreciation	$ (24,552)	$ (23,066)

The valuation allowance relates principally to certain non-US tax loss carryforwards, as the Company believes that due to various limitations in these foreign jurisdictions, it is more likely than not that such benefits will not be realized.

As of January 31, 2002, undistributed earnings of foreign subsidiaries considered permanently invested for which deferred income taxes have not been provided were approximately $19.1 million.

NOTE 11: INCOME TAXES (CONTINUED)

A reconciliation of the provision for income taxes to the amount computed at the federal statutory rate is as follows (in thousands):

	2000	2001	2002
Tax provision at statutory rate	$ 52,635	$ 45,741	$ 37,901
Tax effect of:			
State income taxes, net of federal benefit	4,656	4,910	2,599
Other, net	252	(676)	(217)
	$ 57,543	$ 49,975	$ 40,283